

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

JT STRATEGIC LLC, *Claimant*

v.

SEALINK INTERNATIONAL INC., *Respondent*.

DOCKET NO. 2009(I)

Served: October 22, 2024

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant JT Strategic LLC (“JT”) initiated this proceeding by filing an informal complaint at the Federal Maritime Commission (“FMC” or “Commission”) against Respondent Sealink International Inc. (“Sealink”), alleging that in violation of 46 U.S.C. §§ 41104(a) and (d) and 41106(1) of the Shipping Act, Sealink intentionally delayed the clearance of JT’s container, falsified the invoice for the container’s Customs and Port charges in order to augment Sealink’s charges, and charged JT an annual bond charge without providing JT an annual bond number. JT requests an award of reparations in the amount of \$46,024.05, consisting of a refund in the amount of \$16,024.05 for its payments to Sealink and \$30,000 for damages it says its cargo suffered because Sealink left its cargo in the container yard with no supervision.

A. Background and Procedural History

JT purchased cargo consisting of industrial chairs, industrial underpads, and industrial power mobility wheelchairs from a supplier in China, which it arranged to sell to a company in Hawaii, United States. JT alleges that it then arranged with Sealink to ship five containers containing the cargo from China to the United States, including the container at issue, for which, according to JT, it arranged by verbal contract with Sealink to provide shipping of the container from China to Hawaii under DDP² terms. When the container arrived in Hawaii, it incurred customs and demurrage charges which, JT alleges, resulted from Sealink’s failure to timely perform the duties necessary for the customs clearance of the container. JT further alleges that Sealink falsified its invoice for the customs and demurrage charges, which Sealink then claimed

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² Under DDP terms, the amount charged covers shipping, customs duty, and insurance.

to have been imposed by the United States Customs and Border Protection (“CBP”) and the port due to the delay in clearing the container. Further, JT alleges that the buyer for the goods refused to take delivery of the goods due to the delay in delivering it, and in addition the cargo sustained damages due to Sealink’s failure to properly supervise the container when it arrived at the destination. JT requests reparations in the amount of \$46,024.05, claimed to be the amount of its damages due to the alleged conduct by Sealink.

On May 6, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), notifying Sealink of the Claim and instructing it to file a response by May 31, 2024, and to indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the Claim. The Secretary also assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. On May 30, 2024, Sealink filed a response to the Claim and consented to the use of the informal procedures. On June 11, 2024, the Chief ALJ assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission’s Rules of Practice and Procedure, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on June 17, 2024, the undersigned issued a Request for Additional Documents and Information (“Request for Supplemental Information”) directing the parties to provide certain information and documents by July 1, 2024, and permitting any party wishing to file a response to the opposing party’s submission to do so by July 8, 2024.

On June 30, 2024, JT submitted its response (“C. Supp. Info”). On July 13, 2024, Sealink’s response was received (“R. Supp. Info”). On July 30, 2024, JT submitted a reply to Sealink’s response (“C. Reply”). Sealink was granted additional time until August 2, 2024, to submit a reply to JT’s response. On August 2, 2024, Sealink submitted a reply to JT’s response (“R. Reply”).

As discussed in greater detail below, it is found that Claimant fails to demonstrate that Respondent violated the Shipping Act and fails to demonstrate that its Claim falls within the purview of the Shipping Act. Therefore, the Claim is dismissed, and JT’s request for reparations is denied.

B. Argument of the Parties

1. Claimant’s Arguments

JT states that it had a verbal agreement with Sealink which, according to JT, is reflected in the invoices it received from Sealink and the emails between the parties, under which Sealink was to service its containers and shipments from pre-designated departure points to the arrival locations. C. Supp. Info. pg. 1 at no. 1. According to JT, Sealink was responsible for the transportation of JT’s five containers from China to Hawaii, United States, the manifest and customs clearance of the containers at the departure and arrival ports, payment of the containers’ ocean freight, pre-payment of tax and duty on the containers, and payment of any other charges accrued on the containers based on pre-fixed prices agreed upon prior to the shipment of the

containers. JT states that four of the five containers were transported under DDP terms while Sealink was only supposed to handle the manifest, customs clearance, tax and duty, and performance of the last mile of the remaining container. C. Supp. Info. pgs.1-3, at nos. 1-4.

JT alleges that Sealink intentionally delayed customs clearance of the container at issue - TCLU315662 - which arrived on March 25, 2023, to the port of Honolulu, United States, from the port of Yintian, China. Complaint pg. 1 at IIIa. JT also alleges that the container sat in the shipyard for over 35 days for unspecified reasons, resulting in port and carrier charges in the amount of \$3,935.31 for demurrage fees. Complaint pg. 1 at IIIa. According to JT, it provided a power of attorney ("POA") to Sealink to submit the necessary documents to the CBP and perform the customs clearance of the container in Hawaii and Sealink claimed to have filed the customs entry for the container, but the CBP and the customs broker stated that no file was logged on the container until May 1, 2023. Complaint pg. 1 at IIIa; C. Supp. Info. pg. 6 at no. 14. JT "assume[s] that Sealink delayed the clearance to make more money via penalties and extra services that they claimed to provide to clear the container with 'Last Minute' charges." Complaint pg. 1 at IIIa. According to JT, Sealink subsequently informed it that it would have to pay over \$10,000 for penalties and extra charges to clear the container and eventually the "container was released with methods we still do not understand." C. Supp. Info. pg. 6 at no. 14. JT states that by the time the container was finally cleared through customs the batteries on the cargo it purchased had died due to the container laying in the port yard for two to three months with no supervision from Sealink, and the delay in delivering the cargo caused JT's customer to reject the cargo. C. Supp. Info. pg. 7 at no. 19.

Additionally, JT alleges that Sealink falsified their invoice, charging JT a total of \$10,013.74, claimed to have been imposed by the CBP and the port, which Sealink charged through their subsidiary company called X Logis Express. Complaint pg. 1 at IIIb. JT further alleges that Sealink falsified the adjusted duty rate on JT's cargo by charging an extra customs entry fee and a fee for "FDA Inspection" that never occurred. Complaint pg. 1 at IIIc and e. It also alleges that although Sealink charged it \$2,075 for an annual bond, Sealink never issued JT an annual bond number. Complaint pg. 1 at IIIc; C. Supp. Info. pg. 7 at nos. 17.

2. Sealink's Arguments

Sealink denies that it had an arrangement with JT to transport the container at issue or that it provided any transportation services in connection with the container. It notes that its name does not appear in the shipping documents for the container, including the house bill of lading, master bill of lading, and the POA. It avers, moreover, that it did not issue any invoice or charges for the container at issue, has no affiliations or financial transactions with Inchcape, the company to which JT paid the demurrage charges, never collected any payment for demurrage on the container from JT, and never forwarded any demurrage payment on the container to Inchcape. Answer pg. 1 at nos. 1 – 4; R. Spp. Info. pg. 2 at no. 16. Sealink states that its only role related to the container was that it "connected the importer on record (IOR) with the customs house broker (CHB)" and "supported the EOR [exporter of record] and IOR in customs clearance related questions only." R. Supp. Info. pg. 1 at no. 5; R. Reply pg. 5 at no. 4. It asserts: "Since Sealink has not been involved in the transport, Sealink could not have delayed or manipulated the transport or clearance of the container or [sic] could have had any other influence on the shipment." Answer pg. 2 at no. 4.

In addition, Sealink states that its records do not reflect an annual bond payment of \$2,075 from JT. It asserts that a single entry bond was required for customs clearance of the container and that JT never made a request to use a different customs bond. As for the allegation that it falsified the customs entry for JT's cargo, Sealink states:

it is impossible for Sealink to manipulate the customs entry, because Sealink is not a CHB ["customs house broker"] and does not employ a CHB and does not act as a CHB. If any classification of any goods appear to be incorrect, that needs to be brought up to the broker's attention who actually performed the clearance.

R. Supp. Info. pg. 2 at nos. 8-10.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant JT Strategic is an international trading company which utilizes its manufacturing connections to supply goods for its client. Complaint pg. 1 at I.
2. Sealink is an ocean transportation intermediary (organization number 027769), licensed as both a non-vessel-operating common carrier ("NVOCC") and an Ocean Freight Forwarder. <https://www2.fmc.gov/oti/Default.aspx>.
3. The container at issue - number TCLU315662 - was shipped from Yintian, China on February 17, 2023, and arrived in Honolulu, United States, on March 25, 2023. Complaint pg. 1 at no. IIIa.
4. Ocean Network Express Ptd. Ltd. ("ONE") was the ocean common carrier for the shipment. Complaint pg. 1 at no. IIIa; R. Reply pg. 8 at no. 10.
5. Worldex International Logistics Qingdao Co. Ltd. ("Worldex"), a registered NVOCC (organization number 029100) based in China, issued a multimodal transport master bill of lading for container number TCLU315662, containing the following pertinent information:

Bill of Lading Number: ONEYSH2SP1863500
Shipper: Shanghai Focus Global Logistics Corporation Ltd;
Consignee: Wiz Logtec Solution [sic], Inc, Virginia Beach, VA;
Notify Party: Wiz Logtec Solutions, Inc, Charlotte, NC,
Port of loading: Shanghai, China;
Port of Discharge/Place of Delivery/Final Destination: Honolulu, Hawaii;
Marks & Numbers Container & Seal Numbers:
TCLU3156628/CNCD28358/20GP
No. of Packages: 51 Package [sic]
Description of Packages and Goods: CPAP Machine, Electric Wheelchair
Onboard Date: 02/17/2023
Telex Released

C. Supp. Info Ex. MBL 2302000049 TLX; Answer Ex. 2-MBL (attachment 2);
<https://www2.fmc.gov/oti/NVOCC.aspx>.

6. Focus Global Logistics (“Focus Global”), located in Shanghai, China, issued a house bill of lading for container number TCLU315662, containing the following information:

Bill of Lading Number: FGSH2302000049
Shipper: Visight Limtied [sic];
Consignee: Pacific Medical Healthcare and Supply Co;
Notify Party: Same as Consignee
Party to Contact for Cargo Release: Wiz Logtec Solutions, Inc.
Place of Receipt: Shanghai, China;
Port of loading: Shanghai, China;
Port of Discharge/Place of Delivery: Honolulu, Hawaii, USA;
Container/Seal No.: TCLU3156628/CNCD28358
Marks & Numbers: 51 Package(s)
Kind of Packages; Description of Goods: Shipper’s Load, Count & Seal 1x20GP
Container CPAP Machine, Electric Wheelchair
Shipped on Board: 02/17/2023
Freight and Charges: Freight Prepaid TLX Release

C. Supp. Info Ex. HBL 2302000049 TLX; Answer Ex. 1-HBL (attachment 1).

7. An invoice issued for Container number TCLU315662 by a company called X Logis Express (“X Logis”), contains the following pertinent information:

Invoice To: Pacific Medical Healthcare and Supply Co
Shipper/Consignee: VisightLimited [sic];
HBL/HAWB No: MJSHJM12964;
MBL/MAWB No: ONEYSH2SP1863500
Job No.: SI-17589.
Port of Receipt: Shanghai;
Final Destination: Honolulu;
ETA: 05/01/2023;
Container No.: TCLU3156628/20HQ
Charges:
Customs Entry Fee - US\$250.00
Bond Single Transaction - US\$578.00
GOH Charges - US\$4,500.00
DAD Fee - US\$150.00
Handling Fee - US\$100.00
MPH/HMS - US\$185.74
Courier Charges - US\$50.00
Inspection Chgs - US\$2,565.00
Bond General Order Filing: - US\$1,500.00
Fees CPSC Filing - US\$135.00

Invoice Total: US\$10,013.74

C. Supp. Info Ex. INVOICE.

8. In a document titled “Customs Power of Attorney and Designation of Export Forwarding Agent,” a company called Islands Healthcare Consultants LLC (“IHC”) appointed Ronald Morgan, a customs house broker (“CHB”), as its authorized agent “to act for and on its behalf as a true lawful agent and attorney . . . to [m]ake, endorse, sign, declare, or swear to any customs entry, withdrawal, declaration, certificate, bill of lading, carnet or any other documents required by law of [sic] regulation in connection with the importation, exportation, transportation of any merchandise in or through the customs territory, shipped or consigned by or to said grantor. . . Appointment as forwarding agent; grantor authorizes the above grantee to act within the territory as lawful agent and sign or endorse export documents (i.e. commercial invoices, bills of lading, insurance certificates, drafts and any other document) necessary for the completion of an export on grantor’s behalf as may be required under law and regulation in the territory and to appoint forwarding agents on grantor’s behalf.” C. Supp. Info. Ex. POA-IHC.
9. IHC “was [JT]’s partner in Hawaii for communications and payment handling of the goods within Hawaii.” C. Supp. Info. pg. 5 at no. 9.
10. JT and IHC, a limited liability company based in Hawaii, entered into a purchase and sale contract under which JT committed to sell medical supplies to IHC and ship them to destinations selected by IHC with shipping included, and IHC committed to pay JT for the supplies upon confirmation of their shipping to the designated port of delivery. C. Supp. Info. Ex. Purchase and Sales Agreement-JT & IHC.
11. Pacific Medical Healthcare and Supply Co (“Pacific Medical”) was listed as the consignee and notify party on the Focus Global house bill of lading for container number TCLU315662. C. Supp. Info. Ex. HBL 2302000049 TLX; Answer Ex. 1-HBL (attachment 1).
12. Pacific Medical was “[JT]’s buyer for the items.” C. Supp. Info. pg. 5 at no. 6.
13. Pacific Medical was listed as the “Invoice To” party on X Logis’ invoice for Container number TCLU315662, and the buyer on the ISF information sheet for the container. C. Supp. Info. pg. 5 at no. 6; C. Supp. Info Ex. INVOICE; Answer Ex. 1-HBL (attachment 1); R. Reply Ex. 3-ISF SI-17589.
14. Visight Limited (“Visight”) is “[JT]’s sourcing agent for the items being ordered for [sic] in China.” C. Supp. Info. pg. 5 at no. 7.
15. Visight was listed as the shipper on the Focus Global house bill of lading for container number TCLU315662; the shipper/consignee on X Logis’ invoice for Container number TCLU315662; the manufacturer/supplier, container stuffing location, consolidator and seller, on the importer security filing (“ISF”) 10 + 2; and the ISF information sheet for the container. C. Supp. Info Ex. INVOICE; Answer Ex. 1-HBL (attachment 1); R. Reply Ex. 1-SI-17589; R. Reply Ex. 3-ISF SI-17589.

16. Although an instruction appears at the bottom of X Logis' invoice for container number TCLU315662, stating: "*** **Please sent [sic] payment confirmations/details to remit@sea-link.com*****" (emphasis in original), Sealink asserts that it "did not issue any invoice and / or charges on the container at issue" and that "Sealink nor anyone of its owners have any affiliation with X Logis." R. Supp. Info. pg. 2 at no. 16; R. Reply pg. 7 at 8. *See also* C. Supp. Info. Ex. INVOICE; Ex. 1-HBL (attachment 1).
17. The name, Sealink, does not appear on any other documents in evidence referencing Container number TCLU315662, including the master bill of lading, house bill of lading and the container's ISF filings for customs clearance. C. Supp. Info Ex. MBL 2302000049 TLX; Answer Ex. 2-MBL (attachment 2); C. Supp. Info Ex. HBL 2302000049 TLX; Answer Ex. 1-HBL (attachment 1); R. Reply Ex. 1-SI-17589; R. Reply Ex. 3-ISF SI-17589."
18. JT's name, JT Strategic LLC, does not appear on any documents in evidence referencing Container number TCLU315662, including the master bill of lading, house bill of lading, invoice, and the container's ISF filings for customs clearance. C. Supp. Info Ex. MBL 2302000049 TLX; Answer Ex. 2-MBL (attachment 2); C. Supp. Info Ex. HBL 2302000049 TLX; Answer Ex. 1-HBL (attachment 1); R. Reply Ex. 1-SI-17589; R. Reply Ex. 3-ISF SI-17589; C. Supp. Info. Ex. INVOICE.
19. Most of the evidence provided by JT did not reference a container number, those that referenced a container number either referenced a different container than the container at issue - TCLU315662 - or when they referenced container TCLU315662, Sealink was not listed anywhere in the documents. *See, e.g.*, C. Supp. Exhibits (almost all exhibits provided, including bills of lading and invoices, reference different container numbers.); C. Supp. Info pgs. 1-2 at no. 1 (emails discussing master bill of lading CNAX066318/House bill of lading FGSH2303000147 – a different container.); R. Reply pgs. 1-2 at no. 1 (Respondent noting that the email cited by JT pertains to a different container - TCKU273156-1.); C. Supp. Info pg. 2 at no. 2 (email between the parties discussing an arrangement with Sealink for an unspecified container.); C. Supp. Info pg. 3 at no. 4 (email between the parties discussing an arrangement with Sealink for an unspecified container and another email between the parties discussing container numbers MATS728823700/Job # SI-17714 and MOTU5819182.).

III. DISCUSSION

A. Controlling Authority

The purposes of the Shipping Act as set forth at section 40101 are to:

- (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs;
- (2) ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States;

- (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs and supporting commerce; and
- (4) promote the growth and development of United States exports through a competitive and efficient system for the carriage of goods by water in the foreign commerce of the United States, and by placing a greater reliance on the marketplace.

46 U.S.C. § 40101.

“The term ‘ocean common carrier’ means a vessel-operating-common carrier.” 46 U.S.C. § 40102(18). The term “common carrier” –

(A) Means a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country . . .

46 U.S.C. § 40102(7)(A).

“The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). An “ocean freight forwarder” is a person that –

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19). A non-vessel-operating common carrier is “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17).

The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;

- (C) the person to whom delivery is to be made;
- (D) a shippers' association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

“The term ‘marine terminal operator’ means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter of chapter 135 of title 49.” 46 U.S.C. § 40102(15).

B. Evidence and Burden of Proof

A complainant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See, e.g., Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

C. Claimant Fails to Demonstrate that the Alleged Illegal Conduct Falls Within the Shipping Act Purview or that the Shipping Act was Violated

JT has not established that the alleged conduct by Sealink falls within conduct prohibited by the Shipping Act. Its claim is that Sealink failed to timely process the customs clearance of JT's cargo, falsified its invoice for the customs clearance of the cargo to augment the charges owed by JT for the container's customs clearance, included false charges for duty owed on the cargo, and failed to provide a customs bond number that JT had paid it to provide. Addressing the allegation regarding the falsified invoice, the record shows that an entity named X Logis issued the invoice for \$10,013.74 connected to the customs clearance fees for the container and directed that the payment be remitted to Sealink. (PFs 7, 16). The invoice appears to contradict Sealink's assertion that it was not involved in the invoice charges or payment on the container. However, even setting aside the fact that the invoice was not billed to Claimant JT, more importantly, these charges relate solely to services for customs clearance of the container and the invoice contains no fees in connection with the transportation of the container from China to the United States. Likewise, the allegations regarding the failure to provide a bond number Claimant purchased as well as the allegation regarding the imposition of charges for duty that was not owed on the container relate solely to the customs clearance of the container.

Even if it were inferred that Sealink performed the customs clearance for the container as alleged by JT, the fact still remains that Sealink did not act as a common carrier, marine terminal operator, or ocean freight forwarder subject to the prohibitions of the Shipping Act in connection

with the container at issue. *See generally* 46 U.S.C. §§ 41102-41108 (directing the Shipping Act prohibitions and penalties to common carriers, marine terminal operators, and ocean freight forwarders.). *See also* 46 U.S.C. 40101 (confining the Shipping Act to the regulation of matters arising from **the common carriage of goods by water** in the foreign commerce of the United States.).

Moreover, nothing in the evidence corroborates JT's statement that it entered into an arrangement with Sealink for the transportation of container number TCLU315662 from China to Hawaii, United States, or indicates that Sealink played any role in connection with the container's transportation. Respondent Sealink does not appear on the bills of lading or other shipping documents for the container at issue, ONE was the ocean common carrier for the container's transportation (PF 4), the master bill of lading was issued by Worldex (PF 5), and the house bill of lading was issued by Focus Global (PF 6). *See also* PF 19. None of these companies are shown to be related to Sealink. Further, Claimant JT does not appear on any shipping documents or invoice for the container. *See* PFs 5-19. Even accepting JT's explanation that it had a business relationship with the shipper and consignee on the house bill of lading, there is no connection between JT and Sealink to the container at issue demonstrating that they entered into an arrangement for the ocean transportation of the container. Although a fact finder may draw inferences from certain facts and circumstantial evidence when direct evidence is not available, they may not rely on mere speculation. *Waterman*, 26 S.R.R. at 1180. To prevail in a Shipping Act proceeding, the claimant carries the burden to prove its allegations by a preponderance of the evidence. Here, Claimant JT fails to do so. *Crocus*, 2021 WL 3732849, at *3-4. Therefore, JT's claim is dismissed.

IV. CONCLUSION

Claimant JT Strategic LLC fails to demonstrate that Respondent Sealink International Inc. violated the Shipping Act, as alleged. Accordingly, it is hereby **ORDERED** that its request for reparations be **DENIED** and its complaint be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2024.10.22 15:57:22 -04'00'

Theresa Dike
Small Claims Officer